

Meta Platforms, Inc.

META NASDAQ

Buy	\$579.68 ▲ 1.28%	12M Price Target \$720.00	52-Week Range \$520.26 – \$790.80	Market Cap \$1.48T
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META: Teen Settlement Clears, But AI Capex Bill Looms

WHAT HAPPENED

- Stock's up 1.3% today, and the tell is the Wedbush note on the teen harm settlement — a legal cloud that's been hanging over META for years just cleared. That's why we're seeing unusual call buying at \$570-\$580 strikes (10x normal volume) for September expiration — someone's betting this is the start of a re-rating, not a one-day pop.
- The other big story: Goldman just called out an "AI capex shocker" and there's a piece flagging that Big Tech's \$1T AI spend hasn't hit the P&L yet because depreciation (the accounting spread-out of that spending) is delayed. Translation: the bill for META's data center binge is coming, just not this quarter.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

POLICY & POLITICAL WATCH

Two things to watch: First, the KOSA (Kids Online Safety Act) framework is still floating around Congress — the teen settlement actually gives META cover to argue it's already compliant, which would be a moat against smaller competitors who'd have to spend to catch up. Second, and more important, is the AI regulation landscape — the Trump administration's AI Action Plan has been friendly to Big Tech (less safety red tape, faster data center permitting), which is a direct tailwind for META's Louisiana and Ohio buildouts. Also watch bond yields — the Barron's piece flagging "higher yields are here to stay" matters because META trades like a growth stock, and higher yields compress growth multiples across the board.

IS IT EXPENSIVE?

At ~21x forward earnings (you're paying \$21 for every \$1 of expected earnings next year), META is actually cheap compared to its own history (usually 25-28x) and screaming cheap vs. other Mag 7 names trading at 30x+. The catch: that "cheap" multiple assumes earnings hold up — if AI depreciation eats 15-20% of EPS in 2027 like some analysts fear, you're really paying 25x, which is fair not cheap. So this is a "cheap if the AI bet works, fairly valued if it's just okay, expensive if it's a bust" situation.

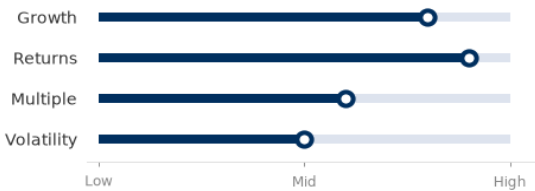
WHAT COULD GO WRONG

- AI capex bill comes due — those \$70B+ in data centers start depreciating (getting expensed against earnings) in 2026-27, and if Reality Labs keeps burning \$16B/year, margins compress fast.

Key Data

Price (USD)	\$579.68
12M Price Target	\$720.00
Upside / (Downside)	+24.2%
Market Cap	\$1.48T
FY2026E Revenue	\$195M
FY2027E Revenue	\$225M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	21.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$620.00	\$590.00	\$545.00
6 Months	\$700.00	\$640.00	\$520.00
1 Year	\$820.00	\$720.00	\$500.00
2 Years	\$950.00	\$800.00	\$480.00
5 Years	\$1400.00	\$1000.00	\$450.00
10 Years	\$2200.00	\$1500.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+3.7% over 5 days) — driven by oil price firmness and the administration's drill-baby-drill posture. Also worth noting: defense/industrials benefiting from budget expansion talks.

COOLING OFF: Communication Services (META's sector) down 1% on the week, Healthcare and Real Estate both down 2%+ — classic higher-yields-hurt-growth setup.

ROTATION WATCH: Money is quietly leaving mega-cap tech and rotating into energy and defensives — that's why META can have great company-specific news (settlement) and still trade sideways. Yields are the boss right now.

RELATED PLAY: If you believe the AI capex story, the picks-and-shovels beneficiaries are the ones actually getting META's money — think Nvidia, Vertiv (data center cooling), and utilities in the Sun Belt where the data centers are going up.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still winning because every dollar META spends on AI capex flows through Nvidia's income statement first.
- GOOGL (Alphabet): Actually struggling per today's "brain drain" headline — this is a META tailwind, not headwind. META is winning the AI talent war.

META CONTEXT: META is lagging the Mag 7 badly here (at 22% of 52-week range while NVDA/MSFT push highs). That tells me the market has specifically penalized META for the capex-to-monetization gap. Which means when they close that gap (probably 2027), the catch-up trade could be violent.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but the AI capex overhang is real, so I'm not pounding the table.

POSITION SIZE: 4-6% — big enough to matter if the AI bet pays off, small enough that a capex-driven earnings reset doesn't wreck your year.

ENTRY POINTS: Ladder in — some here at \$580, more if we get a macro-fear pullback to \$540-560. Don't chase above \$620 until earnings confirm the story.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is Q4 2026 or Q1 2027 earnings where they need to show AI is actually driving ad revenue per user higher.

WHEN TO BAIL: Ad growth drops below 12% YoY for two straight quarters, OR 2027 capex guidance comes in above \$120B without margin defense. Either is the "they're just lighting money on fire" signal.

HEDGING: Simplest play — own less of it (smaller position) rather than pay for puts. If you want protection, a pair trade (long META / short GOOGL) captures the AI talent war dynamic without needing the whole market to cooperate.